

RESOLUTION NO. _____

ENTITLED: "A RESOLUTION AUTHORIZING THE GOVERNING BODY OF THE CITY OF CHEYENNE TO ADOPT THE REVISED STATEMENT OF INVESTMENT POLICY"

WHEREAS, Wyoming State Statute 9-3-831(h) requires the adoption of a statement describing the City of Cheyenne's (City's) investment policy; and

WHEREAS, pursuant to Resolution Number 3842, the Governing Body adopted a Statement of Investment Policy; and

WHEREAS, the City's Investment Committee has since revised the City's Statement of Investment Policy to include the criteria set forth in Resolution Number 4021, which was adopted by the Governing Body on August 9, 1999, as amended in Resolution Number 4193, adopted on June 25, 2001, as amended in Resolution Number 4272, adopted on January 28, 2002; and as amended in Resolution Number 4974, adopted on August 27, 2007; and

WHEREAS, the Governing Body wishes to adopt a Revised Statement of Investment Policy as proposed by the Investment Committee.

NOW, THEREFORE, BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING, that the revised Statement of Investment Policy, which is attached, is hereby adopted and made effective upon passage of this Resolution.

PRESENTED, READ AND ADOPTED this _____ day of November, 2012.

Richard L. Kaysen, Mayor

(SEAL)

ATTEST:

Carol A. Intlekofer, City Clerk

CITY OF CHEYENNE, WYOMING

STATEMENT OF INVESTMENT POLICY

Originally adopted: August 9, 1999

Revised: May 25, 2001

Revised: January 28, 2002

Revised: August 27, 2007

Revised: XXXXXXXX, 2012

1.0 GENERAL

This Statement of Investment Policy is adopted pursuant to the requirements of Wyoming State Statutes 9-4-831(h), as amended. It is the policy of the City of Cheyenne to invest public funds in a manner which will provide a reasonable rate of return while assuring the maximum security of principal, meeting the operational cash flow demands of the City of Cheyenne, and conforming to all federal, state and local laws and regulations governing the investment of public funds. This Policy will apply only to long-term asset investment of City assets. The City will continue to use the State of Wyoming Local Investment Pool (WyoStar) as a primary means of short-term investment management. The Committee may, at its discretion, use other qualified short-term investment management vehicles or programs.

2.0 SCOPE

This Investment Policy applies to all long-term financial assets of the City of Cheyenne. These funds are accounted for in the City's Government-Wide Financial Statements.

3.0 PRUDENCE

Investments should be made pursuant to the Prudent Man Rule, which provides a flexible legal investment standard that requires a fiduciary to make investments that a reasonable man of discretion and intelligence would choose to earn a reasonable level of income and to preserve the principal. Under this standard, a Reasonable Man is defined as one who exercises those qualities of attention, knowledge, intelligence and judgment which society requires of its members for the protection of their own interest and interests of others.

4.0 OBJECTIVES

The primary objectives, in priority order, of the City of Cheyenne investment actions shall be:

4.1 Safety: Safety of principal is the foremost objective of the investment program. Investments of the City shall be undertaken in a manner that seeks to ensure the preservation of capital in the overall portfolio. To attain this objective, diversification is required in order that potential losses on individual securities do not exceed the income generated from the remainder of the portfolio.

4.2 Liquidity: The City's investment portfolio will remain sufficiently liquid to enable the City to meet all cash flow requirements which are reasonably foreseeable.

4.3 Return on Investment: The City's investment portfolio shall be designed with the objective of attaining a reasonable rate of return throughout budgetary and economic cycles, taking into account the City's investment risk constraints and the cash flow characteristics of the portfolio.

4.4 Community Investment: The City's investment portfolio will be managed with a commitment toward the benefit of the community. To this end, investing in local institutions, domestic instruments, or through local brokers will be the preferred investment strategy. This strategy will be tempered with the City's fiduciary responsibility and policy of attaining a market rate of return.

5.0 MANAGEMENT RESPONSIBILITY

Management responsibility for the investment program is hereby delegated to the City Treasurer, who shall establish written procedures for the operation of the investment program consistent with this Investment Policy. Procedures should include reference to safekeeping, Public Securities Association (PSA) repurchase agreements, wire transfer agreements, collateral/depository agreements and banking service contracts. Such procedures shall include explicit delegation of authority to persons responsible for investment transactions.

No person may engage in an investment transaction except as provided under the terms of this Policy and the procedures established by the City Treasurer. The City Treasurer shall be responsible for all transactions undertaken and shall establish a system of controls to regulate investing activities.

6.0 INVESTMENT COMMITTEE

In order to facilitate direct communication to the Governing Body, an Investment Committee shall be established. The Committee shall be composed of:

1. Two members of the City Council appointed by the President of the City Council, one of whom shall serve as the Chairman of the Committee, for 2-year terms. Initially, one appointment will be for a 1-year term and the other for a 2-year term; thereafter, terms will be for 2 years.
2. The Mayor or designee (designee shall be a voting member of the Committee).
3. The City Treasurer
4. The Assistant City Treasurer (BOPU Administration Manager)
5. The City Attorney (or his designee) (non-voting)
6. Two non-City employees with financial expertise (non-voting) will be appointed by the Chairman of the Committee, for 2-year terms. Initially, one appointment will be for a 1-year term and the other for a 2-year term; thereafter, terms will be for 2 years.
7. Administrative Staff will be provided by the City Council Office.

The Investment Committee will meet on a quarterly basis or as needed at a time designated by the Investment Committee Chair. The Investment Committee shall review

investments at least quarterly. The purpose of the Investment Committee as it relates to the Investment Policy shall be:

1. The periodic review of and report on the City's investment activities;
2. The periodic review of the City's Investment Policy;
3. Review and comment on any amendments of the City's Investment Policy as proposed by the City Treasurer; and
4. Consider and make recommendations on other financial functions of the City.

7.0 ETHICS AND CONFLICTS OF INTEREST

Officers and employees involved in the investment process shall refrain from personal business activity that could conflict with proper execution of the Investment Policy, or which could impair their ability to make impartial investment decisions. Officers and employees shall not conduct any personal investment business with the same branch office of the firm through which the City conducts any investment activity. "Personal Investment Business" used here does not mean checking accounts, savings accounts, money market mutual funds, time deposits of five years or less, insurance products, or deferred compensation programs. Members of the Investment Committee employed by the City of Cheyenne shall disclose to the Mayor any material financial interests in financial institutions that conduct business within the jurisdiction, and shall further disclose any large personal financial/investment positions that could be related to the performance of the City's portfolio.

8.0 AUTHORIZED FINANCIAL DEALERS AND INSTITUTIONS

The City Treasurer will maintain a list of financial institutions, security broker/dealers and investment advisors (defined collectively as "investment service providers") authorized to provide investment-related services to the City. Each must be: (a) properly registered with their appropriate regulatory agency; (b) possess insurance, either through private or regulatory sources, satisfactory to the Investment Committee; (c) have a satisfactory record of past performance; and (d) are registered to do business in the State of Wyoming.

No public deposit shall be made except in a qualified public depository as established by Wyoming State Statutes 9-4-817 through 9-4-821, as amended.

All investment service providers, must supply the City Treasurer with some or all of the following:

1. Audited financial statements;
2. Proof of Financial Industry Regulatory Authority certification;
3. Trading resolution;
4. Proof of state registration;
5. Complete broker/dealer questionnaire;
6. Certification of having read the City's Investment Policy; and
7. Appropriate executed contracts.

A current audited financial statement may be required for each investment service provider with which the City invests.

9.0 AUTHORIZED AND SUITABLE INVESTMENTS

The City Treasurer is authorized to invest in those types of securities prescribed in Wyoming State Statutes 9-1-416 and 9-4-831 as amended, and any other state law authorizing such investments.

10.0 COLLATERALIZATION

In addition to the collateralization requirements found in Wyoming State Statutes 9-4-821 as amended, collateralization will also be required on the following types of investments:

1. Time deposits; and
2. Repurchase and reverse agreements.

In order to anticipate market changes, amounts of funds on deposits and provide an adequate level of security for all deposited funds, the collateralization level will be 105% or higher as required by law, of the higher of the par or market value of the deposits.

The market value of the deposits will include accrued interest.

The adequacy of the pledged collateral will be measured by the market or par value of the collateral, whichever is the lesser. Quarterly reports on the deposits and securities must be submitted to the City Treasurer and the Chair of the Investment Committee, and shall include the following:

1. Any accounts in a bank at the end of the quarter must be listed by due date, showing the principal amount, accrued interest and the interest rate; and
2. A listing of the securities pledged by the bank to cover the City's deposits. The list must include the type of security, the maturity date, the interest rate, the par value, the fair market value and the cusip number.

The City may collateralize time deposits and repurchase agreements using longer dated investments not to exceed ten years to maturity.

Authorized instruments for collateralization are those found in Wyoming State Statutes 9-4-821 as amended, with the following exceptions:

1. Conventional first mortgages.

11.0 SAFEKEEPING AND CUSTODY

Pledged collateral which are instruments of the United States Government and its agencies, will be safe kept by the Federal Reserve Bank. Other listed collateral that cannot be held by the Federal Reserve will be held by a non-affiliated, independent third party with whom the City has a current custodial agreement.

A clearly marked evidence of ownership (safekeeping receipt) must be supplied to the City and retained. The City must receive a safekeeping receipt on the same day as the

deposit is made. The right of collateral substitution upon prior notification and acceptance by the City is granted.

All security transactions, including collateral for repurchase agreement, entered into by the City shall be conducted on a delivery-versus-payment (DVP) basis.

12.0 DIVERSIFICATION

The City will diversify its instruments by security type and institution. With the exception of US Treasury securities, obligations or securities issued by or guaranteed by any federal government agency or instrumentality, certificates of deposits, and authorized pools, no more than 50% of the City's total investment portfolio will be invested in a single security type.

13.0 MAXIMUM MATURITY

To the extent possible, the City will attempt to match its investments with anticipated cash flow requirements.

The weighted average life of the City of Cheyenne 1-5 Year Short-Intermediate portfolio will not exceed four years. **14.0 ANNUAL AUDIT; INTERNAL CONTROL**

The City Treasurer may establish a process of annual independent review of the investment function by an external auditor. This review will provide internal control by assuring compliance with policies and procedures.

15.0 MARKET YIELD

The City's investment strategy is active. The City will generally purchase instruments with the intent of holding the investments until maturity. However, active management generally acknowledges that securities can be sold prior to maturity for a variety of reasons including, but limited to: improving portfolio diversification and/or yield, changing portfolio composition, etc.

Given this strategy, the basis used by the City Treasurer to determine whether reasonable yields are being achieved is if the rate of return on all average cash and investment balances is within 100 basis points (bps) below the lower of:

1. The average one year certificate of deposit rate of local depositories; or
2. The average annual earning rate of WYOSTAR as defined by Wyoming State Statutes 9-1-416.

16.0 PERFORMANCE BENCHMARK

Investment performance will be measured using "Total Rate of Return" measurement. This combines both the cash income and change in portfolio market value for all portfolio holdings to establish account performance.

The assets of the portfolio managed by external Managers shall be invested with the objective of producing the following respective rates of return:

1. The "Cash" portfolio shall be managed to exceed the existing benchmark for the WyoStar program. For cash portions of the portfolio not in WyoStar, the benchmark will be the Citigroup 3-Month Treasury Bill Index.
2. The City of Cheyenne 1-5 Year Short-Intermediate portfolio shall be managed to exceed the annualized total return of the Merrill Lynch 1-5 Year Government Index.

17.0 REPORTING

The City Treasurer is charged with the responsibility of including a market report on investment activity and returns in the City Treasurer's Financial Report on a monthly basis.

18.0 INVESTMENT POLICY ADOPTION

The City's Investment Policy shall be adopted by Resolution of the City's Governing Body. The Policy shall be reviewed at least annually by the Investment Committee and any modifications made thereto must be approved by the Governing Body.

STATEMENT OF INVESTMENT OFFICER OR ADVISOR

Pursuant to Wyoming State Statutes 9-4-831(h) as amended, the following Statement must be signed by any person who:

1. Effects any investment transaction on behalf of a political subdivision; or
2. Offers any investment to the governing of a political subdivision.

Pursuant to Wyoming State Statutes 9-4-831(h) as amended, and Section 8.0 of this Statement of Investment Policy of the City of Cheyenne, I hereby swear and affirm that I have read the Statement of Investment Policy of the City of Cheyenne, and that I agree to abide by applicable state law with respect to advice I give and the transactions I undertake on behalf of the City of Cheyenne."

Date:

By:

Signatory:

Print Name of Signatory

Print/Type Name of Firm

City of Cheyenne